25900347 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSEECO203 - MONETARY ECONOMICS

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Question

Answer all questions

Each question carries **1** marks

1. The function of money that allows people to compare the value of goods and services is: [An] / [CO1, CO2, CO3, CO4]

   a). Medium of exchange b). Store of value

   c). Unit of account d). Standard of deferred payment

2. Which of the following influences the size of money multiplier? [A] / [CO2]

   a). Cash Reserve Ratio b). Bank rate

   c). Open market operations d). Repo rate

3. Identify the type of monetary policy used to control inflation. [U] / [CO3]

   a). Expansionary b). Contractionary

   c). Neutral d). Deflationary fiscal policy

4. Which of the following actions is an example of contractionary fiscal policy? [K] / [CO4]

a). Increasing government spending

b). Decreasing taxes

c). Increasing taxes

d). Reducing interest rates

5. State the sole authority for currency issue except ₹1 notes and coins in India. [K] / [CO3]

a). Ministry of Finance b). Reserve Bank of India

c). State Bank of India d). NABARD

6. A monetary standard refers to: [U] / [CO1, CO2, CO3, CO4]

a).The official exchange rate of a currency b).The system under which money supply is regulated in an economy

c).The level of interest ratesset by the central bank d).The inflation rate target set by the government

7. Friedman's version emphasizes that the velocity of money is: [E] / [CO2]

a). Constant and unchanging b). Predictable and stable over the long run

c). Highly volatile due to policy changes d). Irrelevant to inflation dynamics

8. Recognize the first Governor of the RBI. [K] / [CO3]

a). C.D. Deshmukh b). James Braid Taylor

c). Osborne Smith d). Benegal Rama Rau

9. A rise in the prices due to higher wages and raw material costs exemplifies which type of inflation? [U] / [CO4]

a).Demand-pull inflation

b).Cost-push inflation

c).Creeping inflation

d).Hyperinflation

10. What is the primary function of a bank? [K] / [CO4]

a).Accepting Deposits b).Fixed Deposits

c).Current Deposits d).Savings Deposits

[1x10 = 10]

Part B

Short Answer

Answer any **10** questions

Each question carries **3** marks

11.	How does the central bank's monopoly of currency issue influence the central bank approach?	[E] / [CO1, CO2, CO3, CO4]
12.	Discuss the role of rational expectations in achieving money neutrality.	[U] / [CO2]
13.	Describe the characteristics of the call rate.	[A] / [CO1, CO2, CO3, CO4]
14.	Illustrate the features, advantages and disadvantages of electronic money.	[An] / [CO1]
15.	How do factors like external shocks, supply-side constraints, and high government debt complicate a central bank's ability to achieve its policy goals?	[E] / [CO1, CO2, CO3, CO4]
16.	Describe any three stages in the evolution of money.	[K] / [CO1]
17.	Evaluate real balance effect integration into neoclassical synthesis models.	[E] / [CO2]
18.	Define Liquidity Adjustment Facility.	[K] / [CO3]
19.	What is demand-pull inflation? Explain with an example.	[K] / [CO4]
20.	Discuss the differences between Narrow Money and Broad Money aggregates.	[An] / [CO2]
21.	Differentiate between demand-pull inflation and cost-push inflation in relation to money supply.	[An] / [CO1, CO2, CO3, CO4]
22.	Explain the transaction motive for holding money and its role in monetary theory.	[U] / [CO2]
23.	Why is LAF considered an important tool for day-to-day liquidity management by the RBI?	[E] / [CO3]
24.	Analyse key components of the balance sheet of a bank	[An] / [CO4]
25.	How does money act as a link between the present and the future in economic activities?	[E] / [CO1, CO2, CO3, CO4]

[3x10 = 30]

Part C

Short Essay

Answer any **5** questions

Each question carries **6** marks

26.	Differentiate between commodity money, fiat money, and representative money with examples.	[U] / [CO1]
27.	Explain the quantity theory of money	[U] / [CO2, CO4]
28.	How do macroeconomic factors such as inflation expectations and uncertainty affect the liquidity of financial markets	[A] / [CO1, CO2, CO3, CO4]
29.	Distinguish between 'Tier 1 Capital' and 'Tier 2 Capital'	[An] / [CO4]
30.	Discuss factors such as variable time lags, financial market imperfections, and the presence of a "liquidity trap" that can impede the effectiveness of monetary policy.	[U] / [CO1, CO2, CO3, CO4]
31.	How does money act as a solution to the problems of barter? Explain with examples.	[U] / [CO1]
32.	Classify the demand for money as per the views of Keynes	[U] / [CO2]
33.	How does inflation targeting in a developing country differ from its implementation in a developed economy?	[E] / [CO1, CO2, CO3, CO4]
34.	CPI is often referred to as a cost-of-living index. Justify this statement with examples.	[A] / [CO4]
35.	Compare the Conventional and Chicago Approaches.	[U] / [CO1]

[6x5 = 30]